THE NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH -IV

CA. (CAA)-109/ND/2021

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

In the matter of:

Scheme of Arrangement

BETWEEN

Skylark Commerce Private Limited

Non-Applicant/Transferor Company No.1

AND

Strong Vintrade Private Limited

Applicant No.1/Transferor Company No. 2

AND

Axon Systems Private Limited

Applicant No.2/Transferor Company No. 3

AND

Best Technologies Private Limited

Applicant No.3/Transferor Company No. 4

AND

Best Auto Private Limited

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Applicant No.4/Transferor Company No. 5

WITH

Best International Private Limited

Applicant No.5/ Transferee Company

CORAM:

SH. DHARMINDER SINGH, HON'BLE MEMBER (J)

SH. AVINASH KUMAR SRIVASTAVA , HON'BLE MEMBER (T)

Order delivered on: 24.12.2021

O R D E R

Per: Sh. DHARMINDER SINGH, MEMBER (JUDICIAL)

1. This application has been jointly filed by the Applicant Companies under Sections 230 and 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, duly supported by separate affidavits of the Applicant Companies, for seeking appropriate orders/directions for dispensing with/convening of the respective meetings of Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Companies, in connection with the proposed Scheme of Arrangement contemplated between the applicant companies and non-applicant company namely, Skylark Commerce Private Limited (transferor company no. 1). The said Scheme of Arrangement (hereinafter referred to as the "Scheme") has been placed on record along with the joint application.

2. It is represented that the registered offices of all the applicant companies is situated in New Delhi and therefore the subject matter of this joint application falls within the Jurisdiction of this Bench. It is seen that

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the registered office of the transferor company no. 1 (non-applicant company) is situated at Kolkata which is not within the Jurisdiction of this Bench.

3. Strong Vintrade Private Limited (Applicant No. 1) having CIN No. U51909DL2011PTC234796 was incorporated on 13.03.2011 under the provisions of the erstwhile Companies Act, 1956. The Authorized Share Capital Rs. 5,00,000 divided into 50,000 Equity Shares of Rs. 10/- each and Issued, Subscribed and Paid up Share Capital Rs. 2,10,000 divided into 21,000 Equity Shares of Rs. 10/- each. The registered office of the Applicant No. 1 Company is situated at C5/21, Safdarjung Development Area, New Delhi-110016.

4. Further it is submitted that the Applicant Company No. 1 has 10 Equity Shareholders and 2 Unsecured Creditors and all the equity shareholders and Unsecured creditors have given their consents to the Scheme constituting 100% in value and 100% in number. It is further represented by the counsel for Applicants that the Transferor Company No. 2 has no Secured Creditor. Certificates of Chartered Accountant certifying non-existence of any creditor have been placed on record. As the Company has no secured creditor the requirement of convening meetings of secured creditor does not arise. In relation to the shareholders and unsecured creditors, the applicant no. 1 company, seeks dispensation from convening and holding of their meeting on the ground that all the shareholders and unsecured creditors have given consents in favour of the Scheme.

5. Axon Systems Private Limited (Applicant No. 2/Transferor Company No.3) having CIN No. U74899DL1985PTC021278 was incorporated on 21.06.1985 under the provisions of erstwhile Companies Act, 1956. The

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registered office of Transferor Company No.3 is situated at at C5/21, Safdarjung Development Area, New Delhi-110016. The Authorized Share Capital of the transferor company No.3 is Rs. 15,00,00,000/- divided into 15,00,000 Equity Shares of Rs. 10/- each. The issued, subscribed and paid up Share Capital of resulting company is Rs. 6,55,200/- divided into 65,520 Equity Shares of Rs. 10/- each.

6. Further it is submitted that the Applicant Company No. 2 has 10 Equity Shareholders and 2 Unsecured Creditors and all the equity shareholders and Unsecured creditors have given their consents to the Scheme constituting 100% in value and 100% in number. It is further represented by the counsel for Applicants that the Transferor Company No. 3 has no Secured Creditor. Certificates of Chartered Accountant certifying non-existence of any creditor have been placed on record. As the Company has no secured creditor the requirement of convening meetings of secured creditor does not arise. In relation to the shareholders and unsecured creditors, the applicant no. 2 company, seeks dispensation from convening and holding of their meeting on the ground that all the shareholders and unsecured creditors have given consents in favour of the Scheme.

7. Best Technologies Private Limited (Applicant No. 3/Transferor Company No.4) having CIN No. U74900DL2004PTC130726 was incorporated on 23.11.2004 under the provisions of erstwhile Companies Act, 1956. The registered office of Transferor Company No.4 is situated at at C5/21, Safdarjung Development Area, New Delhi-110016. The Authorized Share Capital of the Transferor Company no.4 is Rs. 15,00,00,000/- divided into 15,00,000 Equity Shares of Rs. 10/- each. The issued, subscribed and paid up Share Capital of resulting company is Rs. 1,20,12,740/- divided into 12,01,274 Equity Shares of Rs. 10/- each.

8. Further it is submitted that the Applicant Company No. 3 has 2 Equity Shareholders and 1 Unsecured Creditor and all the equity shareholders and Unsecured creditor have given their consents to the Scheme constituting 100% in value and 100% in number. It is further represented by the counsel for Applicants that the Transferor Company No. 4 has no Secured Creditor. Certificates of Chartered Accountant certifying non-existence of any creditor have been placed on record. As the Company has no secured creditor the requirement of convening meetings of secured creditor does not arise. In relation to the shareholders and unsecured creditors, the applicant no. 3 company, seeks dispensation from convening and holding of their meeting on the ground that all the shareholders and unsecured creditors have given consents in favour of the Scheme

9. Best Auto Private Limited (Applicant No. 4/Transferor Company No.5) having CIN No. U74899DL1985PTC021278 was incorporated on 02.08.2001 under the provisions of erstwhile Companies Act, 1956. The registered office of Transferor Company No.5 is situated at at C5/21, Safdarjung Development Area, New Delhi-110016. The Authorized Share Capital of the Transferee Company No.5 is Rs. 5,00,00,000/- divided into 40,00,000 Equity Shares of Rs. 10/- each and 1,00,000 Preference shares of Rs. 10/- each. The issued, subscribed and paid up Share Capital of resulting company is Rs. 2,06,45,000/- divided into 20,64,500 Equity Shares of Rs. 10/- each.

10. Further it is submitted that the Applicant Company No. 4 has 9 Equity Shareholders and 9 Unsecured Creditors and all the equity shareholders and 6 representing more than 90% in value Unsecured creditors have given their consents to the Scheme. It is further represented

by the counsel for Applicants that the Transferor Company No. 5 has no Secured Creditor. Certificates of Chartered Accountant certifying non-existence of any creditor have been placed on record. As the Company has no secured creditor the requirement of convening meetings of secured creditor does not arise. In relation to the shareholders and unsecured creditors, the applicant no. 4 company, seeks dispensation from convening and holding of their meeting on the ground that all the shareholders and unsecured creditors have given consents in favour of the Scheme.

11. Best International Private Limited (Applicant No. 5/Transferee Company) having CIN No. U51909DL2003PTC119293 was incorporated on 06.03.2003 under the provisions of erstwhile Companies Act, 1956. The registered office of Transferee Company is situated at at C5/21, Safdarjung Development Area, New Delhi-110016. The Authorized Share Capital of the transferee company is Rs. 3,00,00,000/- divided into 10,00,000 Equity Shares of Rs. 10/- each and 20,00,000 Preference shares of Rs. 10/- each. The issued, subscribed and paid up Share Capital of resulting company is Rs. 72,85,000/- divided into 7,28,500 Equity Shares of Rs. 10/- each.

12. Further it is submitted that the Transferee company has 10 Equity Shareholders and 3 Unsecured Creditor and all the equity shareholders and Unsecured creditor have given their consents to the Scheme constituting 100% in value and 100% in number. It is further represented by the counsel for Applicants that the transferee company has no Secured Creditor. Certificates of Chartered Accountant certifying non-existence of any creditor have been placed on record. As the Company has no secured creditor the requirement of convening meetings of secured creditor does not arise. In relation to the shareholders and unsecured creditors, the transferee company, seeks dispensation from convening and holding of

their meeting on the ground that all the shareholders and unsecured creditors have given consents in favour of the Scheme.

13. We have perused the joint applications and the connected documents / papers filed herewith including 'Scheme of Arrangement' contemplated between the Applicant companies.

14. All the applicants have filed their respective "Memorandum & Articles of Associations". The applicants have also filed their audited financial statements for the year 2019 to 2021.

15. Apparently, the Board of Directors of the applicant companies vide separate meetings, on 31.08.2021 have unanimously approved the proposed Scheme of Arrangement and copies of resolutions passed thereat have been placed on record by the companies.

16. All the companies have submitted that no investigation proceedings are pending against them. It is further submitted that the directors of the applicant companies have no material interests in the proposed Scheme of Arrangement.

17. The proposed merger is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013, and the Same if sanctioned by this Tribunal, will take effect from April 1st, 2021, i.e the Appointed dated as provided in the Scheme.

18. The certificates of statutory auditors of all the applicant companies certifying that the accounting treatment used in the proposed scheme is in conformity of Section 133 of the Companies Act, 2013, have also been placed on record.

19. Further, there is nothing to show that the proposed Scheme is as prejudicial to the interests of the shareholders and creditors of the Applicant Companies. Infact, the Scheme will be beneficial to all the companies and their respective shareholders and creditors.

20. Vide the present application, a prayer is made for dispensation of convening meetings in view of the following facts:-

A. In respect of the Transferor Company No.2 / Applicant Company No.1:-

- It has 10 Equity Shareholders who have accorded their consent vide affidavits placed on record.
- It has no Secured Creditor as certified by the Chartered Accountant.
- It has 2 Unsecured creditors who have accorded their consent vide affidavits placed on record

In view of the consent accorded by its 10 Shareholders and 2 Unsecured creditors vide affidavits, the requirement of convening the meeting of the shareholders and Unsecured creditors is dispensed with. Further, as there is no secured creditor, the question of convening their meeting does not arise.

B. In respect of the Transferor Company No.3 / Applicant Company No.2:-

- It has 10 Equity Shareholders who have accorded their consent vide affidavits placed on record.
- It has no Secured Creditor as certified by the Chartered Accountant.

- It has 2 Unsecured creditors who have accorded their consent vide affidavits placed on record

In view of the consent accorded by its 10 Shareholders and 2 Unsecured creditors vide affidavits, the requirement of convening the meeting of the shareholders and Unsecured creditors is dispensed with. Further, as there is no secured creditor, the question of convening their meeting does not arise.

C. In respect of the Transferor Company No.4 / Applicant Company No.3:-

- It has 2 Equity Shareholders who have accorded their consent vide affidavits placed on record.
- It has no Secured Creditor as certified by the Chartered Accountant.
- It has 1 Unsecured creditor who have accorded its consent vide affidavit placed on record

In view of the consent accorded by its 2 Shareholders and 1 Unsecured creditor vide affidavits, the requirement of convening the meeting of the shareholders and Unsecured creditor is dispensed with. Further, as there is no secured creditor, the question of convening their meeting does not arise.

D. In respect of the Transferor Company No.5 / Applicant Company No.4:-

- It has 10 Equity Shareholders who have accorded their consent vide affidavits placed on record.
- It has no Secured Creditor as certified by the Chartered Accountant.

- It has 9 Unsecured creditors, out of which 6 representing more than 90% in value have accorded their consent vide affidavits placed on record

In view of the consent accorded by its 9 Shareholders and 6 representing more than 90% in value Unsecured creditors vide affidavits, the requirement of convening the meeting of the shareholders and Unsecured creditors is dispensed with. Further, as there is no secured creditor, the question of convening their meeting does not arise.

E. In respect of the Transferee Company

- It has 9 Equity Shareholders who have accorded their consent vide affidavits placed on record.
- It has no Secured Creditor as certified by the Chartered Accountant.
- It has 3 Unsecured creditors who have accorded their consent vide affidavits placed on record

In view of the consent accorded by its 9 Shareholders and 3 Unsecured creditors vide affidavits, the requirement of convening the meeting of the shareholders and Unsecured creditors is dispensed with. Further, as there is no secured creditor, the question of convening their meeting does not arise.

21. The applicant companies shall publish advertisement with a gap of at least 30 clear days to be published in the English Daily 'Business Standard' (Delhi Edition) and Hindi Daily 'Jansatta' (Delhi Edition) stating the copies of Scheme, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the Applicant Companies.

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22. The Companies shall individually send notice to the Central Government, the Income Tax Authorities, concerned Registrar of Companies, NCT of Delhi & Haryana, the RBI and any sectoral regulators who may have significant bearing on the operation of the applicant companies along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

23. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

The application stands allowed in the aforesaid terms.

Copy of the order be served to the parties.

-Sd-

24/12/2021

(AVINASH SRIVASTVA)
MEMBER (T)

-Sd-

24/12/21.

(DHARMINDER SINGH)
MEMBER (J)